

High Yield Institutional Composite

As of 2/28/2015



Investment Approach

- Horizon's High Yield Opportunity strategy focuses on investments in below investment grade and distressed debt, preferred stock and convertible bonds.
- The investment process does not constrain security selection through specific maturity, duration or credit quality parameters, but has historically focused on short to intermediate maturities in distressed situations.
- The portfolio will invest in government securities or cash alternatives in periods where investment opportunity appears limited.

Portfolio Construction

- Returns are typically produced through long-term, capital appreciation and the compounding of interest and dividends.
- Portfolio typically holds 30 to 80 securities.
- The portfolio seeks to manage co-dependency across business models and does not measure risk versus a specific benchmark.

Investment Time Horizon:

5+ Years

Representative Benchmark:

BoA ML High Yield

Asset Under Management:

Horizon Kinetics (\$bln)	9.2
Horizon Institutional (\$bln)	3.3
Strategy (\$mm)	28
Composite (\$mm)	27

Inception Date:

January 2000

Portfolio Manager:

Murray Stahl
37 yrs investment experience

(1) Horizon Kinetics LLC is the parent company to Horizon Asset Management LLC, Kinetics Asset Management LLC, and Kinetics Advisers, LLC, each of which is an SEC-registered investment adviser.

(2) Horizon Institutional is defined as the traditional, long only separate accounts and private investment fund assets managed by Horizon Asset Management LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. Please refer to Important Disclosures on the following page.

Performance Statistics	MTD	QTD	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	ITD
Total Return (gross)	1.0	1.2	1.2	3.6	4.1	6.6	9.0	12.9
Total Return (net)	0.9	1.1	1.1	2.5	3.1	5.5	7.9	11.8
BoA ML High Yield	2.4	3.1	3.1	2.8	7.6	9.2	7.8	7.4
Excess Return (gross)	-1.4	-1.9	-1.9	0.7	-3.5	-2.7	1.2	5.5
Standard Deviation (%)	—	—	—	4.1	4.2	6.8	9.0	10.0
Tracking Error (%)	—	—	—	2.9	2.5	3.7	6.6	8.7
Sharpe Ratio	—	—	—	0.9	1.0	1.0	0.8	1.1
Information Ratio (arith)	—	—	—	0.3	-1.4	-0.7	0.2	0.6
Beta	—	—	—	0.7	0.8	0.9	0.7	0.6
UpMkt Capture Ratio (%)			40	81	72	81	92	108
Down Capture Ratio (%)			—	59	106	97	73	57

Top 10 Holdings

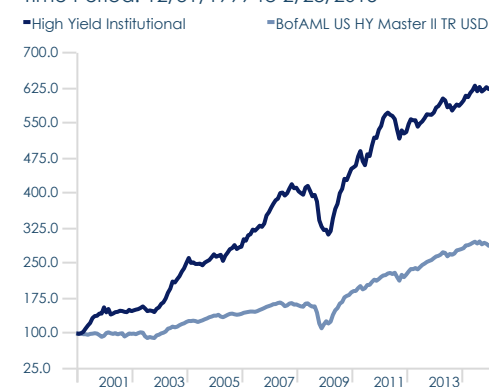
	% Port
Wells Fargo & Co 7 1/2 % Non Cum Perp Conv Pfd Shs A Series L	6.5%
Jarden Corporation 7.5% 01-may-2017	6.3%
Webmd Health Corp. 2.5% 31-jan-2018	6.0%
DoubleLine Income Solutions Fund	5.8%
PIMCO Dynamic Income Fund	5.7%
Doubleline Opportunistic Credit Fund	5.6%
PIMCO Dynamic Credit Income Fund	4.6%
PIMCO Income Strategy Fund II	4.0%
PCM Fund Inc	3.9%
Pimco Income Opportunity Fund	3.9%

Strategy Characteristics

Number of Positions	33
Average Duration (yrs)	1.0
Average Rating (S&P)	C-
Current Yield	5.2

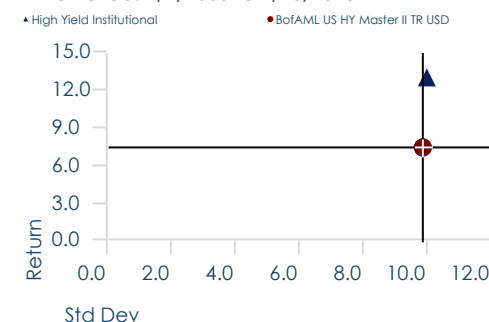
Cumulative Growth of \$100 (gross)

Time Period: 12/31/1999 to 2/28/2015



Risk/Reward (gross)

Time Period: 1/1/2000 to 2/28/2015



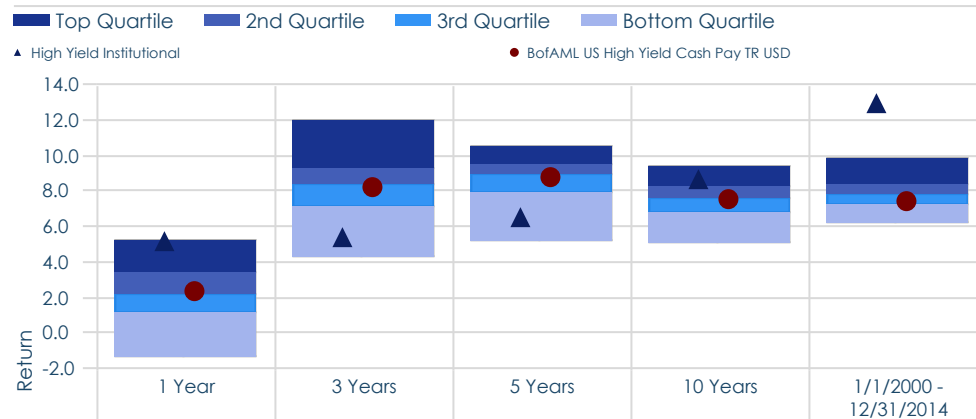
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As of 2/28/2015



Performance Relative to Peer Group (gross)

As of Date: 12/31/2014 Peer Group (5-95%): Separate Accounts/CITs - U.S. - High Yield Bond



Monthly Performance (gross)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	Index
2015	0.2	1.0											1.2	3.1
2014	1.1	1.7	-0.5	1.5	1.0	1.5	-1.9	1.5	-1.6	0.7	0.9	-0.7	5.2	2.5
2013	1.9	0.5	1.3	1.5	-0.7	-2.5	0.8	-2.0	1.2	1.1	-0.5	0.9	3.4	7.4
2012	3.2	1.9	-0.4	0.0	-2.5	1.3	0.8	1.3	1.4	-0.1	-0.1	0.8	7.9	15.6
2011	1.5	3.1	1.3	0.8	-0.8	-0.4	-1.2	-4.0	-3.6	3.4	-1.3	0.6	-0.9	4.4
2010	0.7	0.8	4.3	2.4	-4.4	-1.9	5.1	-0.8	4.5	3.6	-0.2	3.4	18.5	15.2
2009	0.2	-3.3	2.4	8.5	5.9	2.9	6.1	2.3	5.3	-0.7	2.8	2.8	40.8	57.5
2008	-1.9	-0.9	-0.9	3.9	0.9	-2.5	-3.0	0.8	-3.5	-10.6	-3.9	-2.3	-22.0	-26.4
2007	2.8	2.2	2.1	0.9	3.1	0.3	-1.6	1.2	2.5	2.3	-2.1	0.3	14.6	2.2
2006	5.6	-1.1	3.9	0.7	3.2	-0.7	1.6	1.7	-0.8	2.1	5.2	2.0	25.9	11.7
2005	-1.9	0.8	0.8	-4.9	4.3	2.4	2.8	0.9	2.3	-2.9	1.2	0.6	6.0	2.7
2004	4.3	-4.1	0.5	-1.4	0.0	0.3	-1.5	2.3	1.1	1.1	2.3	2.4	7.4	10.9
2003	4.9	1.9	5.1	7.0	4.6	7.8	-1.0	3.4	2.9	4.4	3.1	4.8	61.0	28.1
2002	1.2	1.0	0.8	1.6	2.1	-2.9	-3.6	1.0	-0.7	-1.7	4.8	2.1	5.5	-1.9
2001	-6.9	5.0	-7.8	1.5	2.1	0.4	1.6	-0.4	-1.2	-0.5	3.4	-1.9	-5.3	4.5
2000	-1.0	1.2	3.1	6.7	6.0	4.7	8.6	3.3	0.4	3.5	-0.1	9.4	55.8	-5.1

Source: Morningstar Direct

Definitions: Historical Statistics

- Excess Return is the measurement of a portfolio's return minus the return of the representative index.
- Standard Deviation is a statistical measure of the degree to which an individual value in a probability distribution tends to vary from the mean of the distribution.
- Tracking Error is the standard deviation of a portfolio's return relative to a benchmark.
- Risk Adjusted Return is a measure of how much an investment returned in relation to the amount of risk it took on; specifically, it is the ratio of strategy return over its volatility.
- Information Ratio is a ratio of portfolio returns above the returns of a benchmark (usually an index) to the volatility of those returns.
- Beta is a measure of the volatility, or systematic risk, of a security or a portfolio in comparison to the market as a whole.
- Up-Market Ratio is the statistical measure of an investment manager's overall performance in up-markets. The ratio is calculated by dividing the manager's returns by the returns of the index during the up-market.
- Down-Market Ratio is the statistical measure of an investment manager's overall performance in down-markets. The ratio is calculated by dividing the average manager's returns by the average returns of the index during the down-market.
- Turnover is the lower of total buys or total sells divided by the average market value of the account. Turnover ratio is calculated by Fiserv APL.

Important Disclosures

Horizon Asset Management Institutional ("Horizon Institutional" or "the firm") is defined as the traditional long only separate accounts and private investment fund assets of Horizon Asset Management LLC. ("Horizon" or the "firm"), an SEC-registered investment adviser and a wholly owned subsidiary of Horizon Kinetics LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. The firm maintains a complete list and description of composites, which is available upon request via CSBD@horizonkinetics.com.

Horizon Institutional claims compliance with the Global Investment Performance Standards (GIPS®).

The High Yield Institutional Composite seeks positive above market long-term returns by investing primarily in a focused portfolio of high yielding investments in below investment grade and distressed corporate debt, preferred stock and convertible bonds.

Performance is expressed in USD. Past performance does not guarantee future results and the value of the investments and the income derived from them may increase or decrease. Note that indices are unmanaged and the figures shown herein do not reflect any investment management fee or transaction costs. Investors cannot directly invest in an index. References to market or composite indices, benchmarks or other measures of relative market performance (a "Benchmark") over a specific period are provided for your information only. Reference to a Benchmark may not reflect the manner in which a portfolio is constructed in relation to expected or achieved returns, portfolio guidelines, correlation, concentrations, volatility or tracking error targets, all of which are subject to change over time. The Portfolio is a total return strategy and the benchmark is provided for illustrative purposes only. It is not our intention to state, indicate or imply in any manner that our future results will be profitable or equal past results.

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